

Stochastic Bandits

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Stochastic Bandits



A 1915 Mills Liberty Bell.

- First half: The classical stuff (1950's-2010)
- Second half: Brand new! (2026)

Why stochastic bandits?

- Historical motivation: clinical trials [[Thompson, 1933](#)]. Actions are medical interventions (drugs). Rewards determined by patient responses. But there are many practical issues
- Modern times: A/B testing, advertising

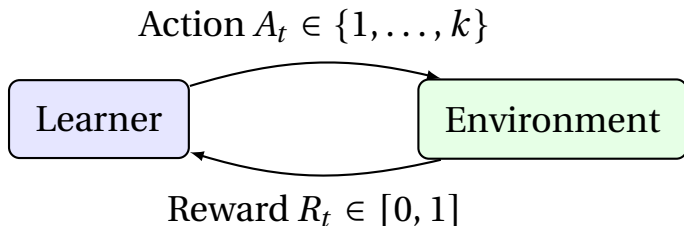
Why stochastic bandits *here*?

- Bandits are single-state MDPs
- The simplest model that demonstrates the exploration/exploitation dilemma
- Simple models are a good place to design theoretically justified principled approaches

Formal model

- k actions
- *Unknown* mean vector $\mu \in [0, 1]^k$
- *Known* time horizon n

Learner and environment interact over n rounds



- Actions are $A_1, \dots, A_n$
- Rewards are $R_1, \dots, R_n$
- Assume the rewards are bounded in $[0, 1]$

Exploration/Exploitation dilemma

- How do you decide between a known quantity and an unknown one
- A problem I (and you) face *all the time*
 - I like my favourite coffee shop. When a new one opens, do I try it?
 - Should I bring my climbing shoes to Milan?
 - Should I explore a new line of research?

Bandits and their many extensions capture the essence of this problem

Principles for exploration in bandits

- Be greedy [This talk]
- Explore naively [This talk]
- Be optimistic [This talk]
- Be Bayesian
- Information-directed sampling
- Reframe as optimisation [Nicoló?]

Performance measures

- How do we assess the performance of a learning algorithm?
- Convention: $\mu_1 > \mu_2 \geq \dots \geq \mu_k$
- The standard in the bandit literature is to **minimise the expected cumulative regret**

$$\text{Reg}_n = \mathbb{E} \left[\sum_{t=1}^n (\mu_1 - \mu_{A_t}) \right] = \mathbb{E} \left[\sum_{t=1}^n \Delta_{A_t} \right]$$

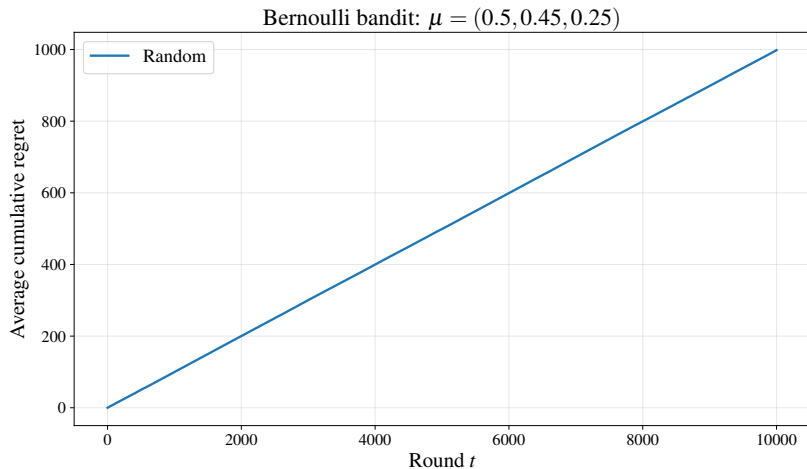
where $\Delta_a = \mu_1 - \mu_a$

- Lot's of alternatives

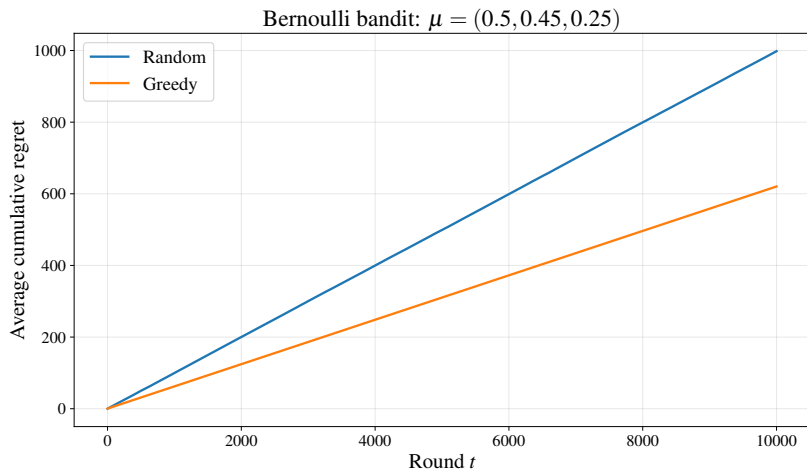
Be greedy

- Play the action that currently looks best
- Break ties randomly

Simulation

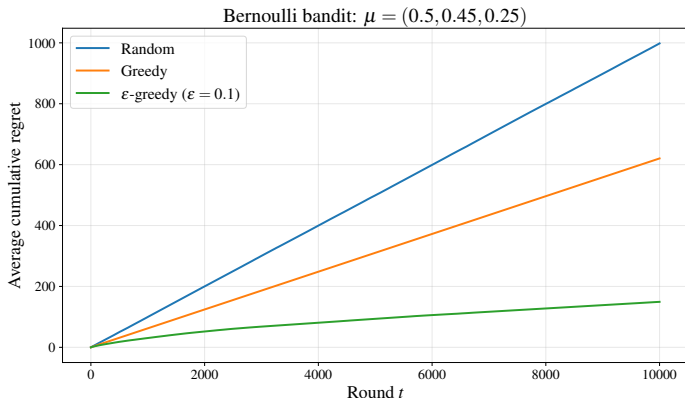


Simulation



Explore naively

- With probability $\epsilon \in [0, 1]$ play randomly
- Else play the action that currently looks best



Optimism principle

*“Act as if you are in the nicest **plausibly possible** environment”*

Exploration and exploitation in bandits

→ Optimism principle:

*“Act as if you are in the nicest **plausibly possible** environment”*

→ The action you should play in a bandit with means v is $\arg \max_{a \in 1 \dots k} v_a$

→ The reward you would expect is $\max_{a \in 1 \dots k} v_a$

→ By the optimism

$$A_t = \arg \max_{a \in 1 \dots k} \max_{v \in P_t} v_t$$

with P_t the set of **plausibly possible** means

Upper Confidence Bound Algorithm

A simple choice for the plausible set is

$$P_t = \left\{ \nu \in [0, 1]^k : |\nu_a - \hat{\mu}_a(t-1)| \leq \sqrt{\frac{\log(2n^2)}{2T_a(t-1)}} \right\}$$

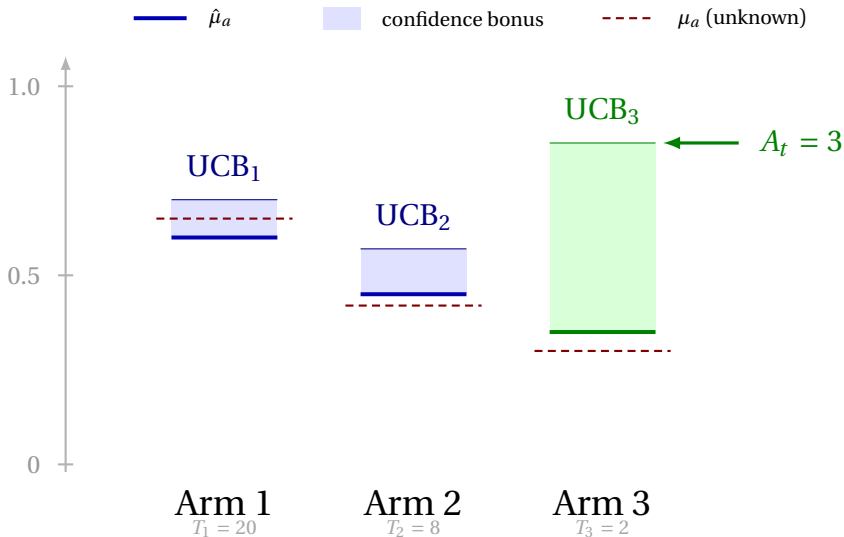
$$T_a(t) = \sum_{u=1}^t \mathbf{1}_{A_u=a} \quad \text{and} \quad \hat{\mu}_a(t) = \frac{1}{T_a(t)} \sum_{u=1}^t R_u \mathbf{1}_{A_u=a}$$

UCB

$$A_t = \arg \max_{a \in 1 \dots k} \left[\hat{\mu}_a(t-1) + \sqrt{\frac{\log(2n^2)}{2T_a(t-1)}} \right]$$

[Lai, 1987, Katehakis and Robbins, 1995, Auer et al., 2002]

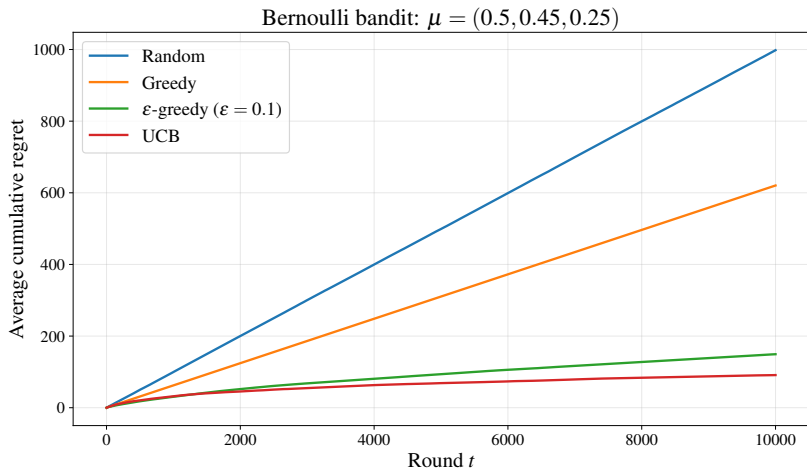
Visualising UCB



Demo

```
python3 ucb_demo.py
```

Regret plot



Confidence intervals

Theorem (Hoeffding's bound)

*Suppose that $X_1, \dots, X_n$ are $[0, 1]$ -valued **independent and identically distributed** random variables with mean μ , then for any $\delta \in (0, 1)$,*

$$\mathbb{P} \left(|\hat{\mu} - \mu| \geq \sqrt{\frac{\log(2/\delta)}{2n}} \right) \leq \delta$$

where $\hat{\mu} = \frac{1}{n} \sum_{t=1}^n X_t$

Applying Hoeffding's bound

	1	2	3	4	5	6	7	8
Arm 1	.3 R_1	.7 R_4	.1 R_7	.5 R_9	.8	.2	.6	.4
Arm 2	.9 R_2	.4 R_6	.6	.1	.3	.7	.5	.8
Arm 3	.2 R_3	.5 R_5	.9 R_8	.3	.7	.1	.4	.6

 observed  unobserved

$$\hat{\mu}_{4,2} = \frac{1}{4}(0.9 + 0.4 + 0.6 + 0.1) = 0.5 \quad (\text{mean of first 4 values in Arm 2's row})$$

Applying Hoeffding's bound

Theorem

With probability at least $1 - n\delta$ for all rounds $t \in \{1, \dots, n\}$ and arm a

$$|\hat{\mu}_a(t-1) - \mu_a| \leq \sqrt{\frac{\log(2/\delta)}{2T_a(t-1)}}$$

Proof: $F \subset \bigcup_{t=1}^n \left\{ |\hat{\mu}_{t,a} - \mu_a| > \sqrt{\frac{\log(2/\delta)}{2t}} \right\}$

By the **union bound**:

$$\mathbb{P}(F) \leq \sum_{t=1}^n \mathbb{P} \left(|\hat{\mu}_{t,a} - \mu_a| > \sqrt{\frac{\log(2/\delta)}{2t}} \right) \leq n\delta$$

Fundamental identity

The regret can be written in terms of the **gaps** and the expected **play counts**:

$$\begin{aligned}\mathbb{E}[\text{Reg}_n] &= \mathbb{E} \left[\sum_{t=1}^n (\mu^\star - \mu_{A_t}) \right] \\ &= \mathbb{E} \left[\sum_{t=1}^n \sum_{a=1}^k \mathbf{1}_{A_t=a} (\mu^\star - \mu_a) \right] \\ &= \sum_{a=1}^k (\mu^\star - \mu_a) \mathbb{E} \left[\sum_{t=1}^n \mathbf{1}_{A_t=a} \right] \\ &= \sum_{a=1}^k \Delta_a \mathbb{E}[T_a(n)]\end{aligned}$$

Bounding the play counts

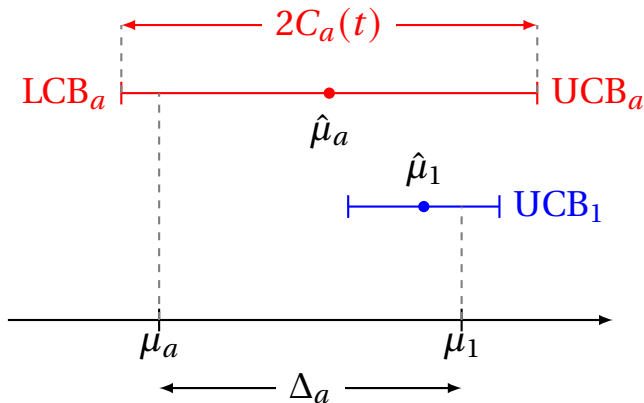
- The regret is $\mathbb{E}[\text{Reg}_n] = \sum_{a=1}^k \Delta_a \mathbb{E}[T_a(n)]$
- Need to bound the number of times any suboptimal action a is played
- Let $C_a(t) = \sqrt{\frac{\log(2/\delta)}{2T_a(t-1)}}$. If $A_t = a$ then

$$\mu_a + 2C_a(t) \geq \hat{\mu}_a + C_a(t) \geq \hat{\mu}_1 + C_1(t) \geq \mu_1$$

- Rearranging: $\sqrt{\frac{2\log(2/\delta)}{T_a(t-1)}} = 2C_a(t) \geq \Delta_a$
- $T_a(t-1) \leq \frac{2\log(2/\delta)}{\Delta_a^2}$

Visualising the bound

1. On good event: $\text{LCB}_a \leq \mu_a$ and $\text{UCB}_1 \geq \mu_1$
2. Because a played: $\text{UCB}_a \geq \text{UCB}_1$
3. Therefore $2C_a(t) \geq \Delta_a$



Final bound

- We proved that the bad event has probability at most $nk\delta$
- On the good event $T_a(n) \leq 1 + \frac{2\log(2/\delta)}{\Delta_a^2}$

$$\begin{aligned}\mathbb{E}[\text{Reg}_n] &= \mathbb{E}\left[\sum_{a=2}^k \Delta_a T_a(n)\right] \\ &\leq n \cdot nk\delta + \sum_{a=2}^k \left(\Delta_a + \frac{2\log(2/\delta)}{\Delta_a}\right)\end{aligned}$$

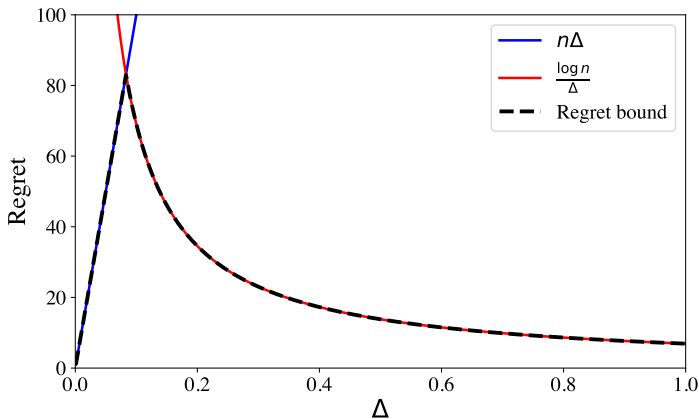
- Choose $\delta = \frac{1}{n^2}$
- $\text{Reg}_n = O\left(\sum_{a=2}^k \frac{\log(n)}{\Delta_a}\right)$

Is this good?

$$\rightarrow \text{Reg}_n = O\left(\sum_{a=2}^k \frac{\log(n)}{\Delta_a}\right)$$

$\rightarrow$ Let's plot this with $k = 2$

Regret vs Δ



→ Worst-case regret occurs when $\Delta \approx \sqrt{\frac{\log n}{n}}$

Minimax bound

Let $\epsilon > 0$

$$\begin{aligned}\text{Reg}_n &= \sum_{a=2}^k \Delta_a \mathbb{E}[T_n(a)] \\ &\leq n\epsilon + \sum_{a:\Delta_a > \epsilon} \Delta_a \mathbb{E}[T_n(a)] && [\sum_a T_a(n) \leq n] \\ &\leq n\epsilon + \sum_{a:\Delta_a > \epsilon} O\left(\frac{\log(nk)}{\Delta_a}\right) && [\text{prev. bound}] \\ &= O\left(n\epsilon + \frac{k \log(nk)}{\epsilon}\right) && [\Delta_a > \epsilon] \\ &= O\left(\sqrt{nk \log(nk)}\right) && [\epsilon = \sqrt{k \log(nk)/n}]\end{aligned}$$

Theoretical comparison

Let's think about the minimax regret of ϵ -greedy

- Bandit with means $\mu = (1/2, 1/2 - 1/\sqrt{n\epsilon}, 0)$
- Regret is at least $n\epsilon$
- Let $\Delta = 1/\sqrt{n\epsilon}$
- Learner needs to play the second arm $\sim 1/\Delta^2$ to distinguish first two arms
- But $1/\Delta^2 = n\epsilon$
- Regret is also at least $\sqrt{n/\epsilon}$
- Maximum of the two is $n^{2/3}$

Unknown horizon

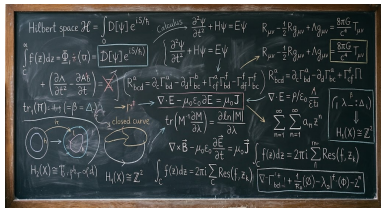
- Simple idea: **doubling trick** – guess some horizon. Run algorithm until the game ends or the guess is hit. Double your guess and restart the algorithm
- Better idea: refine the **confidence level**

$$A_t = \arg \max_{a \in 1 \dots k} \left(\hat{\mu}_a(t-1) + \sqrt{\frac{\log(2t^2)}{T_a(t-1)}} \right)$$

- Marginally more technical analysis

Fancy refinements

$$\hat{\mu}_a(t-1) + \sqrt{\frac{1}{2T_a(t-1)}} \log$$



→ $O(\sqrt{nk})$ minimax regret

→ $O\left(\sum_{a \neq a^*} \frac{\log(n)}{\Delta_a}\right)$ problem dependent regret

→ Both optimal

[Audibert and Bubeck, 2009, Degenne and Perchet, 2016, Lattimore, 2018]

Optimality

Both the logarithmic and finite-time bounds are *essentially optimal*

Be careful For every fixed bandit there exists an algorithm that just plays the optimal action

Lower bounds usually have one of two flavours:

- For any algorithm there exists an instance where the regret is such and such [Nicoló]
- Any ‘good’ algorithm cannot be ‘too good’ on any instance

The noise distributions

- We assumed the rewards were in $[0, 1]$
- Sometimes you know **more**: E.g., the rewards are Bernoulli (in $\{0, 1\}$)
- Sometimes you know **less**:
“The moments are of the noise distribution are bounded by such and such”
- Or the reward distribution belongs to some parametric family $\mathcal{F} = \{P_\theta : \theta \in \Theta\}$
- The principles stand but the algorithms change. New confidence intervals are needed and the behaviour of the regret can change

Example – Bernoulli rewards

→ Nothing changes except the confidence interval:

$$P_t = \left\{ v : \text{KL}(v_a, \hat{\mu}_a(t-1)) \leq \frac{\log(\cdot)}{T_a(t-1)} \right\}$$

→ $\text{KL}(p, q) = p \log \frac{p}{q} + (1-p) \log \frac{1-p}{1-q} \approx \frac{(p-q)^2}{2p(1-p)}$

→ Regret becomes

$$\mathbb{E}[\text{Reg}_n] = O \left(\sum_{a>1} \frac{\Delta_a \log(n)}{\text{KL}(\mu_a, \mu_1)} \right) \approx O \left(\sum_{a>1} \frac{\sigma_a^2 \log(n)}{\Delta_a} \right)$$

[Cappé et al., 2013]

Bayesian viewpoint

- Another viewpoint
- Put prior on the unknown means (and noise model)
- Now *everything is known* and just a big MDP
- Find the optimal policy
- Generally not practical to compute
- Except in one miraculous case [[Gittins, 1979](#)]

Beyond finite-armed bandits

- Add context – rewards for an arm depend on some observable context [Claire]
- Structured rewards. There many arms but the rewards are connected in some way. E.g., the action set is a convex subset of $\mathbb{R}^d$ and the mean reward is concave
- Pure exploration
- Non-stationarity
- Delayed rewards
- Changing action sets
- Privacy
- And many more

Part II: Policy gradient for stochastic bandits

- A different motivation
- How does a classical **RL algorithm** fair in a setting where analysis is possible?
- Based on lots of recent work: [Mei et al., 2020, 2023, 2024, Baudry et al., 2025, Lattimore, 2026a,b]

Policy gradient dynamics

→ Softmax policy: $\pi_{\theta}(a) \propto \exp(\theta_a)$

→ Expected reward: $J(\theta) = \sum_{a=1}^k \pi_{\theta}(a) \mu_a$

$$\begin{aligned}\nabla J(\theta) &= \sum_{a=1}^k \mu_a \nabla \pi_{\theta}(a) \\ &= \sum_{a=1}^k \pi_{\theta}(a) \mu_a \nabla \log \pi_{\theta}(a) \quad [\text{log derivative trick}] \\ &= \mathbb{E}_{A \sim \pi_{\theta}} [\mu_A \nabla \log \pi_{\theta}(A)]\end{aligned}$$

→ Estimate: sample $A_t \sim \pi_{\theta_t}$, observe R_t

$$g_t = R_t \nabla \log \pi_{\theta_t}(A_t) = R_t(e_{A_t} - \pi_{\theta_t})$$

→ $\theta_{t+1} = \theta_t + \eta R_t(e_{A_t} - \pi_{\theta_t})$

Algorithm

1. Initialise $\theta_1 = 0$ and learning rate $\eta > 0$
2. Let $t = 1$
3. Sample $A_t \sim \pi_{\theta_t} \propto \exp(\theta_t)$
4. Observe reward R_t
5. Update $\theta_{t+1} = \theta_t + \eta R_t (e_{A_t} - \pi_{\theta_t})$
6. Go to step 3

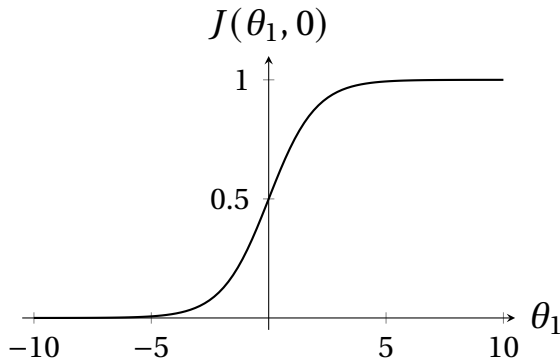
Demo

```
python3 pg_demo.py -eta 0.05 -seed 40
```

```
python3 pg_demo.py -eta 0.5 -seed 40
```


Non-convexity

$$\mu = (1, 0), \theta_2 = 0: \quad J(\theta_1, 0) = \frac{e^{\theta_1}}{e^{\theta_1} + e^0} = \frac{1}{1 + e^{-\theta_1}}$$



Non-convexity and flat gradients are kind of worrying

A simple question

*Do we **expect** the probability of the optimal action to increase?*

- Assume $\mu_1 > \mu_2 \geq \dots \geq \mu_k$
- Equivalent to thinking about the expected change of logit differences

$$\nabla J(\theta)_1 - \nabla J(\theta)_a = \pi_a \Delta_a + (\pi_1 - \pi_a) \langle \pi, \Delta \rangle$$

- The second term only positive if $\pi_1 \geq \pi_a$

So things get hairy if we allow π_1 to fall far below π_a

When $k = 2$ simplifies to $2\pi_a(1 - \pi_a)\Delta_a > 0$

Demo

```
python3 pg_demo.py -eta 0.05 -seed 30 -k=5
```

Master strategy

- Argue that w.h.p. $\pi_{t,1} \gtrsim \pi_{t,a} \forall t, a$
- We have $\mathbb{E}[\nabla J(\theta)_1] = \pi_1 \langle \pi, \Delta \rangle$
- Then

$$\begin{aligned}\mathbb{E}[\theta_{n+1,1}] &= \eta \mathbb{E} \left[\sum_{t=1}^n \nabla J(\theta_t)_1 \right] = \eta \mathbb{E} \left[\sum_{t=1}^n \pi_{t,1} \langle \pi_t, \Delta \rangle \right] \\ &\gtrsim \frac{\eta}{k} \mathbb{E} \left[\sum_{t=1}^n \langle \pi_t, \Delta \rangle \right] = \frac{\eta}{k} \mathbb{E}[\text{Reg}_n]\end{aligned}$$

Rearranging shows that $\mathbb{E}[\text{Reg}_n] \leq \frac{k}{\eta} \mathbb{E}[\theta_{n+1,1}]$

Strategy summary

As long as $\pi_{t,1} \gtrsim \pi_{t,a}$ for all t and suboptimal a with high probability, then

$$\mathbb{E}[\text{Reg}_n] \lesssim \frac{k}{\eta} \mathbb{E}[\theta_{n+1,1}]$$

Hence we need to show that

- $\pi_{t,1} \gtrsim \pi_{t,a}$ indeed holds with high probability
- That $\mathbb{E}[\theta_{n+1,1}]$ is not too large

Conservation law

The logits satisfy a conservation law:

$$g_t = R_t(e_{A_t} - \pi_{\theta_t})$$

Then

$$\sum_{a=1}^k \theta_{t+1,a} = \sum_{a=1}^k \theta_{t,a} + \sum_{a=1}^k g_{t,a} = \sum_{a=1}^k \theta_{t,a}$$

By induction: $\sum_{a=1}^k \theta_{t,a} = 0$

Implications of conservation law

$$\rightarrow \sum_{a=1}^k \theta_{t,a} = 0$$

$$\rightarrow \text{There exists an } a \text{ such that } \theta_{t,a} \geq 0$$

$$\rightarrow \text{If } \theta_{t,b} \leq -\log(n), \text{ then}$$

$$\pi_{t,b} = \pi_{t,a} \exp(\theta_{t,b} - \theta_{t,a}) \leq \frac{1}{n}$$

$$\rightarrow \text{Once the logit is this small, } \theta_{t,b} \text{ hardly moves}$$

$$\rightarrow \text{So } \theta_{t,b} \text{ cannot get much smaller than } -\log(n)$$

$$\rightarrow \text{Consequentially, with high probability}$$

$$\theta_{t,1} = - \sum_{b=2}^k \theta_{t,b} \leq (k-1) \log(n)$$

Where are we?

→ As long as $\pi_{t,1} \gtrsim \pi_{t,a}$ for all t and a then

$$\mathbb{E}[\text{Reg}_n] \lesssim \frac{k}{\eta} \mathbb{E}[\theta_{n+1,1}]$$

→ $\mathbb{E}[\theta_{n+1,1}] = O(k \log(n))$

→ How small does the learning rate η need to be to guarantee that $\pi_{t,1} \gtrsim \pi_{t,a}$ w.h.p.?

Signal-to-noise ratio

- Let a be suboptimal and $Z_t = \theta_{t,1} - \theta_{t,a}$
- Want to argue that Z_t stays nearly positive
- A calculation shows that

$$D_t = Z_{t+1} - Z_t = \eta R_t \left[\mathbf{1}_{A_t=1} - \pi_{t,1} - \mathbf{1}_{A_t=a} + \pi_{t,a} \right]$$

- Expectation and variance: when $Z_t \in I$

$$\begin{aligned}\mathbb{E}_{t-1}[D_t] &= \eta \left[(\pi_{t,1} - \pi_{t,a})r_t + \pi_{t,a}\Delta_a \right] \\ &= \eta\pi_{t,a} \left[(\exp(Z_t) - 1)r_t + \Delta_a \right] \\ &\geq \eta\pi_{t,a}\Delta_a/2\end{aligned}$$

$$\mathbb{E}_{t-1}[D_t^2] \leq \eta^2(\pi_{t,1} + \pi_{t,a}) = O(\eta^2\pi_{t,a})$$

Signal-to-noise ratio

With high probability, if $\eta = \tilde{O}(\Delta_a^2)$ then

$$\begin{aligned}\sum_{t=1}^{\tau} D_t &\gtrsim \sum_{t=1}^{\tau} \mathbb{E}_{t-1}[D_t] - \sqrt{L \sum_{t=1}^{\tau} \mathbb{E}_{t-1}[D_t^2]} \\ &\gtrsim \frac{\eta \Delta_a}{2} \sum_{t=1}^{\tau} \pi_{t,a} - \eta \sqrt{L \sum_{t=1}^{\tau} \pi_{t,a}} \\ &\geq -\frac{\eta L}{2\Delta_a} \geq -\Delta_a\end{aligned}$$

Final result

Theorem

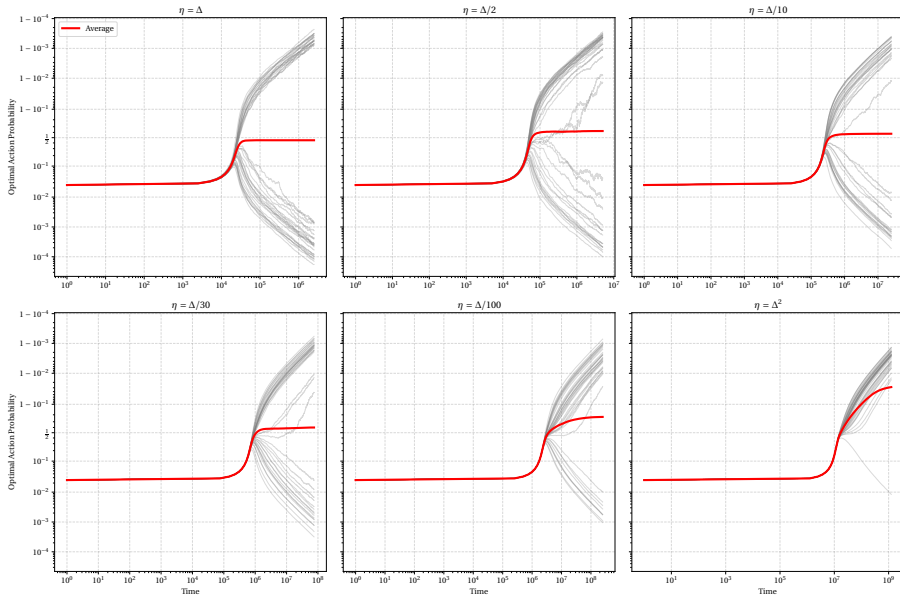
Suppose that $\eta = \tilde{O}(\Delta_{\min}^2)$ then

$$\mathbb{E}[\text{Reg}_n] = O\left(\frac{k^2 \log(n)}{\eta}\right)$$

Not great compared to UCB:

$$\mathbb{E}[\text{Reg}_n] = O\left(\sum_{a>1} \frac{\log(n)}{\Delta_a}\right)$$

Experiments



What's next?

- Adversarial bandits – Nicolás
- Structured/contextual bandits – Claire

Questions and references

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